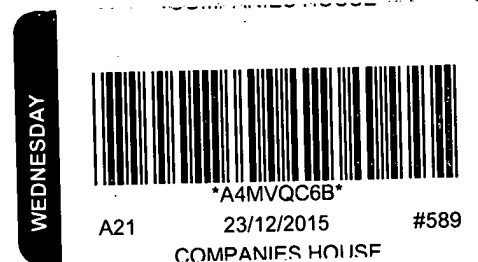


**Alpha Financial Markets Consulting
Group Limited**

**Directors' report and financial
statements**

Registered number 07160664

31 March 2015



Contents

Company information	1
Directors' report	2
Strategic report	3
Statement of directors' responsibilities	4
Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited	5
Profit and loss account	6
Balance sheet	7
Notes	8

Company information

Directors	Mr N Baker Mr B Lantorp Mr E Fraser Mr N Curham
Secretary	Mr N Baker
Company number	07160664
Registered office	60 Gresham Street London EC2V 7BB
Auditor	KPMG LLP St Nicholas House Park Row Nottingham NG1 6FQ
Bankers	HSBC Bank PLC 28 Borough High Street Southwark London SE1 1YB

Directors' report
for the year ended 31 March 2015

The directors present their report and the audited financial statements for the year ended 31 March 2015.

Principal activities and review of the business

The principal activity of the company continued to be that of a holding company.

On 24 October 2013, Alpha FMC Group Limited bought the entire share capital of Alpha Financial Markets Consulting Group Limited. As part of the deal, Alpha FMC Group Limited also purchased the minority interest in Alpha Financial Markets Consulting (France) SA, which it then transferred to Alpha Financial Markets Consulting Group Limited.

Results and dividends

The results of the company for the year are set out on page 6.

An interim ordinary dividend was paid amounting to £1,300,000 (2014: £573,000). The directors do not recommend payment of a final dividend (2014: £nil).

After deducting taxation, dividends and accounting for share based payments, the amount of £3,606,000 (2014: £1,776,000) has been transferred to reserves.

Directors

The following directors have held office during the period and to the date of this report.

Mr N Baker
Mr B Lantorp
Mr E Fraser
Mr N Curham

Statement of disclosure to the auditor

So far as the directors are aware, there is no relevant audit information of which the company's auditor are unaware. Additionally, the directors have taken all the necessary steps that they ought to have taken as directors in order to make themselves aware of all relevant audit information and to establish that the company's auditors are aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the board



Mr N Baker
Director

22 December 2015

Strategic report

Business review

The Company did not trade following its acquisition in October 2013. There are no concerns over the recoverability of debtors.

Future developments

The business plan developed by the directors', for the Group as a whole, shows growth is expected to continue in the forthcoming year. The directors are confident of achieving their plan based on the level of on-going work at the start of the financial year, the level of work already sold but still to be delivered and the strong pipeline of future opportunities. The Company will continue its role in the group as an intermediate holding company.

Key performance indicators

The directors monitor performance on both a weekly and a monthly basis, in the context of the performance of the group, using a range of financial and non- financial indicators. Working capital management is the primary indicator which is reviewed on a weekly basis to monitor cash flow, liquidity and the recovery of trade debtors.

Each month the directors review the management accounts for each group undertaking and compare actual performance against budget. Costs are also reviewed to monitor profitability.

Principal risks

The performance of the group is subject to only limited risk in the short and medium term as the future pipeline of work is very strong. The group continues to generate substantial cash after retaining a proportion of profits to fund increased working capital requirements resulting from growth in the business. Management continue to operate conservative cash management policies.

By order of the board



Mr N Baker

Director

22 December 2015

Statement of directors' responsibilities in respect of the strategic report, directors' report and the financial statements

The directors are responsible for preparing the Directors' and Strategic Reports and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the group and parent company financial statements in accordance with UK Accounting Standards and applicable law (UK Generally Accepted Accounting Practice).

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the group and parent company and of their profit or loss for that period. In preparing each of the group and parent company financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgments and estimates that are reasonable and prudent;
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the group and the parent company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the parent company's transactions and disclose with reasonable accuracy at any time the financial position of the parent company and enable them to ensure that its financial statements comply with the Companies Act 2006. They have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the group and to prevent and detect fraud and other irregularities.



Independent auditor's report to the members of Alpha Financial Markets Consulting Group Limited

We have audited the financial statements of Alpha Financial Markets Consulting Group Limited for the year ended 31 March 2015 set out on pages 6 to 15. The financial reporting framework that has been applied in their preparation is applicable law and UK Accounting Standards (UK Generally Accepted Accounting Practice).

This report is made solely to the company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members, as a body, for our audit work, for this report, or for the opinions we have formed.

Respective responsibilities of directors and auditors

As explained more fully in the Directors' Responsibilities Statement set out on page 4, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view. Our responsibility is to audit, and express an opinion on, the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors.

Scope of the audit of the financial statements

A description of the scope of an audit of financial statements is provided on the Financial Reporting Council's website at www.frc.org.uk/auditscopeukprivate.

Opinion on financial statements

In our opinion the financial statements:

- give a true and fair view of the state of the company's affairs as at 31 March 2015 and of its profit for the year then ended;
- have been properly prepared in accordance with UK Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Opinion on other matter prescribed by the Companies Act 2006

In our opinion the information given in the Directors' and Strategic Reports for the financial year for which the financial statements are prepared is consistent with the financial statements.

Matters on which we are required to report by exception

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Mark Flanagan *Senior Statutory Auditor*

for and on behalf of KPMG LLP, Statutory Auditor
Chartered Accountants
St Nicholas House
Park Row
Nottingham NG1 6FQ

Dated: 22 December 2015

Profit and loss account
for the year ended 31 March 2015

	<i>Note</i>	2015 £000	2014 £000
Turnover		-	367
Administrative expenses		(111)	(376)
Operating loss	2	(111)	(9)
Income from fixed asset investments		5,015	600
Profit on ordinary activities before taxation		4,904	591
Tax on profit on ordinary activities	3	2	(2)
Profit for the year	14	4,906	589

There were no recognised gains or losses in either the current or preceding year other than those in the profit and loss account.

Balance sheet
as at 31 March 2015

	<i>Note</i>	2015 £000	2014 £000
Fixed assets			
Goodwill	7	677	-
Investment	8	11,081	11,536
		<u>11,758</u>	<u>11,536</u>
Current assets			
Debtors	9	4,527	114
Cash at bank and in hand		60	685
		<u>4,587</u>	<u>799</u>
Creditors: amounts falling due within one year	10	(536)	(132)
Net current assets		<u>4,051</u>	<u>667</u>
Net assets		<u><u>15,809</u></u>	<u><u>12,203</u></u>
Capital and reserves			
Called up share capital	13	6,051	6,051
Share premium reserve	14	1,437	1,437
Other reserves	14	72	72
Profit and loss account	14	8,249	4,643
Shareholders' funds	16	<u><u>15,809</u></u>	<u><u>12,203</u></u>

Approved by the board and authorised for issue on 22 December 2015


Mr N Baker

Director

Company registered number : 07160664

Notes

(forming part of the financial statements)

1 Accounting policies

The following accounting policies have been applied consistently in dealing with items which are considered material in relation to the Company's financial statements.

Basis of preparation

The financial statements are prepared in accordance with applicable United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), which have been applied consistently (except as otherwise stated) and under historical cost accounting rules.

The Company is exempt by virtue of s400 of the Companies Act 2006 from the requirement to prepare group financial statements as it is included in the consolidated financial statements of Alpha FMC Group Holdings Limited. These financial statements present information about the Company as an individual undertaking and not about its group.

As the Company is a wholly owned subsidiary of Alpha FMC Group Holdings Limited, the Company has taken advantage of the exemption contained in FRS 8 and has therefore not disclosed transactions or balances with entities which form part of the group. The consolidated financial statements of Alpha FMC Group Holdings Limited, within which this company is included, can be obtained from the address given in note 18.

Turnover

Turnover represents amounts receivable for services net of VAT. Turnover is recognised upon delivery of the service.

Goodwill

Goodwill is written off in equal annual instalments over 20 years.

Investments

Fixed asset investments are stated at cost less provision for diminution in value.

Taxation

The charge for taxation is based on the profit for the year and takes into account taxation deferred because of timing differences between the treatment of certain items for taxation and accounting purposes.

Deferred taxation is provided in respect of material taxation deferred by timing differences between the treatment of certain items for taxation and accounting purposes. The deferred tax balance has not been discounted.

Foreign currency translation

Monetary assets and liabilities denominated in foreign currencies are translated into sterling at the rates of exchange ruling at the balance sheet date. Transactions in foreign currencies are recorded at the rate ruling at the date of the transaction. All differences are taken to the profit and loss account.

Dividends on shares presented within shareholders' funds

Dividends unpaid at the balance sheet date are only recognised as a liability at that date to the extent that they are appropriately authorised and are no longer at the discretion of the Company. Unpaid dividends that do not meet these criteria are disclosed in the notes to the financial statements.

Notes (continued)

2 Operating profit

	2015 £000	2014 £000
<i>Operating profit is stated after charging:</i>		
Amortisation of goodwill	107	-
<i>Auditor's remuneration</i>		
- audit of these financial statements	2	2
	<u>2</u>	<u>2</u>

Auditor's remuneration was borne by another group company.

3 Taxation

	2015 £000	2014 £000
<i>Based on the profit for the year:</i>		
UK corporation tax	-	2
Adjustment in respect of previous periods	(2)	-
	<u>(2)</u>	<u>2</u>
Total current tax	(2)	2
<i>Deferred tax</i>		
Charge/(credit) for the year	-	-
	<u>(2)</u>	<u>2</u>

Factors affecting the tax charge for the year

	2015 £000	2014 £000
Profit on ordinary activities before taxation	4,904	591
	<u>4,904</u>	<u>591</u>
Profit on ordinary activities before taxation multiplied by the standard rate of UK corporation tax of 21% (2014: 23%)	1,030	138
	<u>1,030</u>	<u>138</u>
<i>Effects of:</i>		
Non deductible expenses	22	4
Exempt dividend income	(1,053)	(138)
Group relief	1	(2)
Adjustment to tax charge in respect of previous periods	(2)	-
	<u>(1,032)</u>	<u>(136)</u>
Current tax (credit)/charge for the year	(2)	2
	<u>(2)</u>	<u>2</u>

Reductions in the UK corporation tax rate from 23% to 21% (effective from 1 April 2014) and 20% (effective from 1 April 2015) were substantively enacted on 2 July 2013. In the Budget on 8 July 2015, the Chancellor announced additional planned reductions to 18% by 2020. This will reduce the company's future current tax charge accordingly.

Notes (continued)

4 Directors' remuneration

	2015 £000	2014 £000
Remuneration for qualifying services	-	205
Company pension contribution to defined contribution schemes	-	3
	<u>-</u>	<u>208</u>
	<u>-</u>	<u>208</u>

Remuneration disclosed above included the following amounts paid to the highest paid director:

	2015 £000	2014 £000
Remuneration for qualifying services	-	205
Company pension contribution to defined contribution schemes	-	3
	<u>-</u>	<u>208</u>
	<u>-</u>	<u>208</u>

5 Employees

Number of employees

The average monthly number of employees (including directors) during the year was:

	2015 Number	2014 Number
Administrative	-	1
Other	-	1
	<u>-</u>	<u>2</u>
	<u>-</u>	<u>2</u>

Employment costs

	2015 £000	2014 £000
Wages and salaries	-	245
Social security costs	-	23
Other pension costs	-	3
	<u>-</u>	<u>271</u>
	<u>-</u>	<u>271</u>

6 Dividends

	2015 £000	2014 £000
Ordinary interim paid	1,300	573
	<u>1,300</u>	<u>573</u>
	<u>1,300</u>	<u>573</u>

Notes (continued)

7 Goodwill

	£000
Cost:	
At beginning of year	-
Additions	784
At end of year	784
Amortisation:	
At beginning of year	-
Charged in year	107
At end of year	107
Net book value:	
At 31 March 2015	677

In a prior year the trade and net assets of a subsidiary undertaking were transferred to the company at their book value which was equal to their fair value. The cost of the company's investment in that subsidiary undertaking reflected the underlying fair value of its net assets and goodwill at the time of acquisition. As a result of this transfer, the value of the company's investment in that subsidiary undertaking fell below the amount at which it was stated in the company's accounting records. Schedule 1 to the Companies Act 2006 *The Large and Medium-sized Companies and Groups (Accounts and Reports) Regulations 2008* (SI 2008 No. 410) requires that the investment be written down accordingly and that the amount be charged as a loss in the company's profit and loss account. However, the directors consider that, as there has been no overall loss to the company, it would fail to give a true and fair view to charge that diminution to the company's profit and loss account for the year and it should instead be re-allocated to goodwill and the identifiable net assets transferred, so as to recognise in the company's individual balance sheet the effective cost to the company of those net assets and goodwill.

The effect of this departure is to increase the goodwill in the holding company's balance sheet by £784,000.

8 Investments

	Shares in subsidiary undertakings £000
At 1 April 2014	11,536
Additions	329
Reallocation to goodwill	(784)
At 31 March 2015	11,081

Notes (continued)

8 Investments (continued)

On 31 January 2015, the company purchased the entire share capital of Glass Client Programs Ltd.

Subsidiary undertakings

	Country of incorporation	Principal activity	% of shares held
Alpha Financial Markets Consulting Limited	UK	Management and consultancy	100
Alpha Financial Markets Consulting (France) SA	France	Management and consultancy	100
Alpha Financial Markets Consulting Inc	USA	Management and consultancy	100
Alpha Financial Markets Consulting (Luxembourg) SARL	Luxembourg	Management and consultancy	100
Glass Client Programs Ltd	UK	Management and consultancy	100

9 Debtors

	2015 £000	2014 £000
Trade debtors	-	2
Amounts owed by other group companies	4,527	61
Prepayments and accrued income	-	51
	<u>4,527</u>	<u>114</u>

10 Creditors: amounts falling due within one year

	2015 £000	2014 £000
Trade creditors	-	54
Amounts owed to subsidiary undertakings	334	-
Current corporation tax	-	2
Accruals and deferred income	202	76
	<u>536</u>	<u>132</u>

11 Group pension contributions

The group operates a money purchase pension scheme for the benefit of certain of its directors and employees. The assets of the scheme are held separately from those of the group in an independently administered fund. Contributions during the period amounted to £nil (2014: £25,331).

The number of directors accruing benefits under the scheme was nil (2014: three).

Notes (continued)

12 Share-based payment transactions

The company operates a general employee share-option scheme for the benefit of certain directors and employees in the group. The scheme has been in operation since November 2007. All options granted were exercised when the company was acquired.

Options granted under the scheme typically have a life of 10 years and vest within three years from the grant date, the vesting period varies depending upon the purpose of and the conditions attached to the individual options awarded. The vesting conditions associated with the share options granted are generally either performance or service related. All awards under the scheme are equity-settled, and all became exercisable when the parent company was sold.

The following share options were outstanding under the scheme:

	Number of options 2015	Weighted average exercise price (pence) 2015	Number of options 2014	Weighted average exercise price (pence) 2014
At beginning of the year	-	-	107,368	506
Granted in the year	-	-	0	0
Forfeited in year	-	-	(6,450)	269
Exercised in the year	-	-	(100,918)	535
At the end of the year	-	-	-	-
Options exercisable at the end of the year	-	-	-	-

During the prior year, the following share options were exercised: 49,480 Ordinary 'ANV' shares of 10p each, with an estimated weighted average share price at the date of exercise of 10.29p; 24,450 Ordinary 'A' shares of 10p each at a weighted average share price at the date of exercise of £19.81; 3,788 Ordinary 'UK' shares of £3.10 each at a weighted average share price at the date of exercise of £15.93; 23,200 Ordinary 'C' shares of 10p each at a weighted average share price at the date of exercise of 10p. No options were exercised in the current year.

In accordance with FRS 20 'Share-Based Payment', the fair value of each of the share options has been calculated by applying the Black-Scholes Option Pricing Model to the estimated share price on the grant date of the option.

The model inputs were the relevant share price at grant date, the exercise price as stated in the option agreement, expected volatility of 25%. No expected dividends, an option life based on the best estimate of the expected vesting period and a risk-free interest rate of 3%.

To allow for the effects of early exercise, the option life is based on an estimate of the option's expected life rather than its contractual life.

Volatility has been determined based on historical volatility in the estimated share price.

No share options were granted in the current or prior year.

The total expense recognised, in the profit and loss account for the year, arising from share-based payment transactions was as follows

	2015 £000	2014 £000
Expense arising from equity-settled share based payment transactions	-	333

Notes (continued)

13 Called up share capital

	2015 £000	2014 £000
<i>Allotted, called up and fully paid:</i>		
328,243 ordinary 'A' shares of 10p each	33	33
5,970,623 ordinary 'B' shares of £1 each	5,971	5,971
3,788 ordinary 'C' shares of £3.10 each	12	12
82,413 ordinary 'ANV' shares of 10p each	8	8
1,685 ordinary 'E' shares of 10p each	-	-
100,000 ordinary 'Lux' shares of 10p each	10	10
250,000 ordinary 'USA' shares of \$0.10 each	15	15
24,450 ordinary 'UK' shares of 10p each	2	2
	6,051	6,051

During the prior period the Company issued:

23,200 £0.10 ordinary 'A' shares for a consideration of £2,320, settled in cash; 3,788 £3.10 ordinary 'C' shares for a consideration of £60,343, settled in cash; 49,480 £0.10 ordinary 'ANV' shares for a consideration of £5,091, settled in cash; 24,450 £0.10 ordinary 'UK' shares for a consideration of £484,354, settled in cash.

14 Statement of movement on reserves

	Share premium account £000	Other reserves £000	Profit and loss account £000
Balance at 1 April 2014	1,437	72	4,643
Profit for the year	-	-	4,906
Dividends paid			(1,300)
Balance at 31 March 2015	1,437	72	8,249

Other reserves comprise a capital redemption reserve of £71,875 (2014: £71,875).

15 Related party relationships and transactions

During the prior year, the Directors and their close family members were repaid the balances in their current accounts of £305,000. During the year, the group paid dividends to close family members of the directors amounting to £nil (2014: £205,696).

The company has taken advantage of the exemption in Financial Reporting Standard Number 8 from the requirement to disclose transactions with group companies on the grounds that consolidated financial statements are prepared by the ultimate parent company

Notes (continued)

16 Reconciliation of movement in shareholders' funds

	2015 £000	2014 £000
Profit for the financial year	4,906	589
Dividends paid	(1,300)	(573)
	3,606	16
Proceeds from issue of shares	-	552
Purchase of minority interest satisfied by issue of shares	-	875
Share-based payment transactions	-	333
	3,606	1,776
Net movement in shareholders' funds	12,203	10,427
Opening shareholders' funds	15,809	12,203
Closing shareholders' funds	15,809	12,203

17 Acquisitions

On 31 January 2015 Alpha Financial Markets Consulting Group Limited purchased the entire share capital of Glass Client Programs for a cash consideration of £329,101. £176,500 of the payment has been deferred over the next 2 years.

On 24 October 2013 Alpha FMC Group Limited purchased 52,500 €1 ordinary shares (the minority interest) in Alpha Financial Markets Consulting (France) SA, and then transferred it to Alpha Financial Markets Consulting Group Limited for a consideration of £874,650, which was satisfied by the allotment and issue of 1 ordinary share of £0.10 in Alpha Financial Markets Consulting Group Limited. After the transfer, Alpha Financial Markets Consulting Group Limited own 100% of the issued share capital of Alpha Financial Markets Consulting (France) SA.

18 Ultimate parent undertaking

At the period end, the Company's immediate parent company was Alpha FMC Group Ltd, a company incorporated in Great Britain and registered in England and Wales.

The largest group into which these financial statements are consolidated is headed by Alpha FMC Group Holdings Limited a company incorporated in Great Britain and registered in England and Wales. The financial statements of both companies can be obtained from the Company Secretary at 60 Gresham Street, London, EC2V 7BB.